



CHAPTER x.

An Act to remove doubts as to the power of the Imperial Continental Gas Association to sell or dispose of portions of their undertaking to confer various powers upon the Association and for other purposes. A.D. 1916.
[1st June 1916.]

WHEREAS the Imperial Continental Gas Association (in this Act referred to as "the Association") are under and by virtue of the Imperial Continental Gas Association Act 1870 a company incorporated for the purpose of supplying either exclusively by means of their own capital and property or in conjunction with any other company or party any cities towns and places in foreign countries with gas with power to purchase hire and use and to sell lands buildings stations works materials apparatus goods chattels and conveniences and to do all works matters and things necessary or requisite for the purposes of the Association: 33 & 34 Vict. c. lxx.

And whereas various other powers were by the said Act and the Imperial Continental Gas Association Act 1878 the Imperial Continental Gas Association Act 1879 the Imperial Continental Gas Association Act 1884 and the Imperial Continental Gas Association Act 1893 (each of which Acts is in this Act referred to as the Act of the year in which the same was passed) conferred upon the Association including power to supply any cities towns places and persons in foreign countries and in British colonies and dependencies not only with gas but with any other light or means of producing light already known or hereafter to be discovered and to manufacture and deal in any means of producing light and to acquire hold and enjoy but only for the purposes of the Association any 41 & 42 Vict. c. xvii.
42 & 43 Vict. c. lxx.
47 & 48 Vict. c. lxvi.
56 & 57 Vict. c. vii.

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A.D. 1916. — patent rights or licences relating to the production of light and generally to do all such acts and things as are necessary or incidental to such supply manufacture and dealing as aforesaid:

And whereas the Association have large works in various cities and towns on the Continent of Europe and have acquired and now hold shares in companies possessing gas and electrical undertakings in other such cities and towns and the paid-up capital of the Association amounts to four million nine hundred and forty thousand pounds:

And whereas doubts have arisen as to the power of the Association to sell or dispose of parts of their undertaking or separate undertakings comprised in their undertaking or to acquire hold or dispose of shares in companies possessing gas or electrical undertakings in cities towns or places in foreign countries or in His Majesty's Overseas Dominions and it is expedient that for the removal of such doubts such provisions as are contained in this Act with respect to the said matters should be enacted:

And whereas by virtue of the Act of 1884 as amended by the Act of 1893 the Association are empowered to borrow and reborrow on mortgage or debenture any sums not exceeding one fourth part of the capital of the Association for the time being issued and fully paid up and in exercise of such powers and of the powers conferred by the Companies Clauses Acts 1863 and 1869 the Association have from time to time created and issued debenture stock to the aggregate nominal amount of one million two hundred and thirty-five thousand pounds bearing interest at the rate of three and one half per centum per annum but no mortgages or debentures of the Association are at present outstanding:

And whereas the whole of the said debenture stock has been issued subject to the condition that the same shall be redeemable at the option of the Association at the price of one hundred and five pounds for every one hundred pounds of such debenture stock at any time upon six months' notice and it is expedient that the said condition should be confirmed as by this Act provided and that the Association should be empowered when issuing any debenture stock after the passing of this Act to attach thereto conditions as to the redemption thereof:

And whereas the Association have pursuant to the said condition purchased and now hold debenture stock to the

nominal amount of eighty thousand three hundred and sixty pounds and it is expedient that the debenture stock so purchased should be cancelled and that such other provisions as to the redemption or purchase and cancellation of debenture stock as are contained in this Act should be enacted : A.D. 1916.

And whereas owing to the present war the Association have only recently been able to complete the returns from their various stations and to prepare the accounts relating to the half-year ended the thirtieth day of June one thousand nine hundred and fourteen and are not yet in a position to complete the returns and to prepare the accounts relating to any subsequent half-year :

And whereas at the ordinary meetings of the Association held respectively on the third day of November one thousand nine hundred and fourteen and on the fourth day of May one thousand nine hundred and fifteen resolutions were unanimously passed adopting the recommendation of the directors that a distribution on account of the profits of the said half-year ended the thirtieth day of June one thousand nine hundred and fourteen equivalent on each occasion to two and one quarter per centum on the capital stock of the Association should be made from funds which constituted income notwithstanding that for the reasons hereinbefore recited the directors of the Association had been unable previously to either of such meetings to cause a scheme to be prepared showing the profits of the Association for the period current since the preceding ordinary meeting at which a dividend was declared and apportioning such profits or part thereof among the shareholders and that the period in respect of which the resolution was passed at the said meeting held on the fourth day of May one thousand nine hundred and fifteen was not or might be deemed not to have been the period current since the preceding ordinary meeting at which a dividend was declared videlicet the said meeting held on the third day of November one thousand nine hundred and fourteen :

And whereas pursuant to the said resolutions distributions were made equivalent in the aggregate to four and a half per centum on the capital stock of the Association and it has since been ascertained that the total amount so distributed was less than the amount available for dividend on the thirtieth day of June one thousand nine hundred and fourteen :

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And whereas it is expedient that the said distributions should be sanctioned and confirmed and should be deemed to have together constituted a dividend paid out of the profits for the half-year ended the thirtieth day of June one thousand nine hundred and fourteen and that the provisions contained in this Act with respect to such distributions should be enacted:

And whereas it is expedient that the other powers and provisions contained in this Act should be conferred and enacted:

And whereas the objects aforesaid cannot be effected without the authority of Parliament:

May it therefore please Your Majesty that it may be enacted and be it enacted by the King's most Excellent Majesty by and with the advice and consent of the Lords Spiritual and Temporal and Commons in this present Parliament assembled and by the authority of the same as follows (that is to say):—

Short title
and con-
struction.

1. This Act may be cited as the Imperial Continental Gas Association Act 1916 and this Act and the Imperial Continental Gas Association Act 1870 the Imperial Continental Gas Association Act 1878 the Imperial Continental Gas Association Act 1879 the Imperial Continental Gas Association Act 1884 and the Imperial Continental Gas Association Act 1893 shall be construed and have effect as one Act except so far as such construction would be inconsistent with or repugnant to any of the provisions of this Act and may be together cited as the Imperial Continental Gas Association Acts 1870 to 1916.

Incorpora-
tion of Com-
panies
Clauses Acts.

2. The Companies Clauses Consolidation Act 1845 (except the provisions thereof with respect to the conversion of the borrowed money into capital) as amended by subsequent Acts and Part III. (Debenture stock) of the Companies Clauses Act 1863 as amended by the Companies Clauses Act 1869 are hereby (in so far as applicable and except where expressly varied by or inconsistent with this Act) incorporated with this Act.

Additional
powers to
Association.

3. The powers of the Association shall be deemed to include and as from the passing of the Act of 1870 to have included the following powers (that is to say):—

Power to purchase take on lease hire hold use and manage any undertaking for the supply to any cities towns places or persons in any foreign country or in any part of His

Majesty's Overseas Dominions of gas or electrical energy (whether for lighting heating or power purposes) or of any other means of producing light heat or power already known or hereafter to be discovered : A.D. 1916.

Power to transact undertake or carry on upon and subject to such terms and conditions as the Association may think fit in conjunction with any other corporation company association body or person any operation business or undertaking which they are authorised under their statutory powers themselves to transact undertake or carry on :

Power to purchase or acquire and to hold exercise perform operate and enjoy any rights contracts concessions or privileges of a like character with or of a character similar to or connected with or incidental to the objects of the Association whether singly or in conjunction with any other corporation company association body or person :

Power to purchase acquire accept hold and enjoy any shares stock mortgages debentures or debenture stock or other security or interest of or in any corporation company association or body carrying on any undertaking in the United Kingdom or in any part of His Majesty's Overseas Dominions or in any foreign country of which the objects are similar to or connected with or incidental to the objects of the undertaking of the Association :

Power to sell vary exchange let lease transfer surrender or otherwise deal with or dispose of any such undertaking as aforesaid or any similar undertaking established by the Association under their statutory powers or any business rights contracts concessions privileges shares stock mortgages debentures or debenture stock or other security or interest possessed granted to carried on or held by the Association whether singly or in conjunction with any other corporation company association body or person upon and subject to such terms and conditions and for such consideration whether in cash or in shares stock mortgages debentures debenture stock or other securities of or interest in any corporation company association or body or partly in one form and partly in another or others or for any other consideration as the directors of the Association may think fit :

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Power to create or establish in any country or part of His Majesty's Overseas Dominions in which the Association are empowered to carry on business any subsidiary company or companies if in the discretion of the directors of the Association it may seem advisable so to do for the better or more effectual carrying on of the business of the Association and to apply for the purposes of any such subsidiary company any funds or moneys for the time being in the hands of the Association and not required for other purposes and to acquire take accept hold and enjoy all or any part of the shares or stock of any such subsidiary company or any mortgages debentures or debenture stock or other security or interest of or in any such company and at the discretion of the directors of the Association to sell vary exchange surrender or otherwise dispose of any such shares stock mortgages debentures debenture stock security or interest for such consideration of any kind as the directors may think fit:

Power to appoint from time to time pursuant to any arrangement between the Association and any such subsidiary company as aforesaid directors or managers of any such company Provided that the restrictions contained in sections 85 and 86 of the Companies Clauses Consolidation Act 1845 shall not apply with respect to any directors so appointed or to their appointment and that any directors so appointed shall be entitled to receive for their own use and benefit any remuneration which may be voted to them by any such subsidiary company of which they are directors:

Provided that in the exercise by the Association in any part of His Majesty's Overseas Dominions of any of the powers conferred upon them by this section the Association shall be subject to the laws of such part so far as applicable.

Confirmation
of distribu-
tion of funds.

4. The distribution of funds made pursuant to resolutions passed at the ordinary meetings of the Association respectively held on the third day of November one thousand nine hundred and fourteen and on the fourth day of May one thousand nine hundred and fifteen shall be deemed to have been lawfully made and notwithstanding anything contained in the Companies Clauses Consolidation Act 1845 or in any Act of or relating to

the Association to have together constituted a dividend declared at the said ordinary meeting held on the third day of November one thousand nine hundred and fourteen and made and paid in respect of the period of six months ending on the thirtieth day of June one thousand nine hundred and fourteen. A.D. 1916.

5. Notwithstanding anything contained in section 19 (As to issue of new capital) of the Act of 1870 the Association may from time to time issue and dispose of any ordinary stock or preference stock which they are authorised to issue at such times to such persons on such terms and conditions at such price (whether equal to the nominal amount or above or below that amount) and in such manner as the directors think advantageous to the Association and for the purposes of section 3 (Amending section 6 of the Act of 1884 as to amount which may be borrowed) of the Act of 1893 the capital of the Association in respect of which it is proposed to borrow money on mortgage or bond or to create and issue debenture stock shall be deemed to be fully paid up when the full price at which such capital was issued has been paid notwithstanding that such price may be less than the nominal amount of such capital. Power to issue stock at a discount.

6. Notwithstanding anything contained in the Acts of or relating to the Association the ordinary stock and preference stock of the Association shall be transferable only in amounts of one pound or multiples thereof and the debenture stock of the Association shall be transferable only in amounts of ten pounds or multiples thereof. As to transfers of ordinary preference and debenture stock.

7.—(1) The condition as to redemption upon which the existing debenture stock of the Association was issued and the purchases of such debenture stock by the Association in pursuance of that condition are hereby confirmed and the Association may at any time redeem the whole or any part of such debenture stock either by paying off the same at the price of one hundred and five pounds for every one hundred pounds of such debenture stock on giving not less than six months' notice in writing to the respective holders of the debenture stock proposed to be redeemed of their intention to effect such redemption or by issuing to any holder of such debenture stock subject to his consent other debenture stock in substitution therefor. Redemption of debenture stock.

(2) The Association may attach to any debenture stock which they may issue after the passing of this Act such

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A.D. 1916. conditions as to the redemption of the whole or any part thereof whether at a fixed date or at any time as may be specified in the resolution creating the same.

(3) The Association may if it is so provided by any resolution creating debenture stock passed after the passing of this Act—

(a) Call in and pay off that debenture stock or any part thereof at any time notwithstanding that any date fixed for redemption may not have arrived; and

(b) Redeem that debenture stock or any part thereof either by paying off the debenture stock or by issuing to the holder thereof subject to his consent other debenture stock in substitution therefor.

(4) For the purpose of providing money for paying off or redeeming any debenture stock pursuant to the provisions of this section or of providing substituted debenture stock the Association may create and issue new debenture stock (either redeemable or irredeemable) or re-issue debenture stock cancelled under the provisions of this section provided that the creation and issue or re-issue as the case may be does not make the total nominal amount of debenture stock outstanding exceed the amount of debenture stock which the Association are for the time being authorised to create except temporarily to the extent of any debenture stock intended to be forthwith redeemed paid off or purchased.

(5) The Association may set aside out of revenue after providing for the payment of interest on any loan or on any guaranteed preference or debenture stock of the Association and for other fixed charges and obligations such sums as they may consider proper for the purpose of forming a fund for the redemption at maturity of any redeemable debenture stock which under the conditions of the creation and issue of that stock is to be redeemed wholly or partly in cash and the Association may invest any sums so set apart and the income therefrom in any securities in which trustees are for the time being by law authorised to invest trust funds or in any other securities (not being securities of the Association except as hereinafter provided) in which they may be authorised to invest those funds by a resolution passed at a general meeting of the Association Any sums so set aside shall be applied for the redemption at maturity of any redeemable debenture stock for

the redemption of which they have been set aside or for the payment off of any such debenture stock at any earlier date under the powers of this section but may if the directors of the Association think fit be also at any time applied in the purchase of any such debenture stock at a price not exceeding the redemption price. A.D. 1916.

(6) The debenture stock of the Association already purchased and now held by the Association shall be cancelled as from the passing of this Act and any debenture stock redeemed or purchased by the Association after the passing of this Act shall be ipso facto cancelled as from the date of such redemption or purchase.

(7) To the extent of the nominal amount of the debenture stock purchased by the Association before the passing of this Act and of any debenture stock redeemed under the provisions of this section otherwise than by the issue of substituted debenture stock or called in and paid off or purchased under the said provisions the powers of the Association of borrowing and re-borrowing on mortgage or debenture or of creating and issuing debenture stock under the provisions of any Act of the Association for the time being in force shall be deemed to be revived but subject always to the provisions of section 3 (Amending section 6 of the Act of 1884 as to amount which may be borrowed) of the Act of 1893 and the Association may accordingly grant or create and issue by way of conversion and so as not to increase the aggregate amount of the authorised loan capital of the Association mortgages or debentures or debenture stock to the extent aforesaid and no certificate of a justice under the fortieth section of the Companies Clauses Consolidation Act 1845 shall be required in relation to any such borrowing or re-borrowing or to the creation or issue of any such debenture stock.

(8) Notice of the effect of subsections (2) to (5) and (7) of this section shall be endorsed on all certificates of debenture stock issued by the Association after the passing of this Act.

8. Notwithstanding anything contained in Part III. of the Companies Clauses Act 1863 the interest of all debenture stock of the Association whether created and issued before or after the passing of this Act and of all mortgages at any time granted by the Association under any previous or subsequent Act

As to
interest on
debenture
stock.

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A.D. 1916. — shall subject to the provisions of any subsequent Act rank *pari passu* (without respect to the dates of the securities or of the Acts of Parliament or resolutions by which the stock or mortgages were authorised) and shall have priority over all principal moneys secured by such mortgages. Notice of the effect of this enactment shall be endorsed upon all mortgages and certificates of debenture stock granted or issued by the Association after the passing of this Act.

Debenture
stock to be
redeemed
when capital
reduced.

9. Notwithstanding anything in section 8 (Power to return capital not required by the Association) of the Act of 1878 the Association shall not reduce their nominal capital as provided by that section unless simultaneously with such reduction they redeem any then outstanding debenture stock to a nominal amount equal to one fourth part of the nominal amount by which the capital of the Association is reduced.

One ordinary
meeting to
be held
yearly.

10. Notwithstanding anything contained in the Companies Clauses Consolidation Act 1845 as incorporated with the Acts of the Association or in section 23 (Ordinary meetings) of the Act of 1870 or section 8 (Times of ordinary meetings) of the Act of 1884 it shall not be necessary for the Association to hold more than one ordinary meeting in any year and such ordinary meeting shall be held on such date (not being more than fifteen months after the holding of the last preceding ordinary meeting) as the directors may determine.

Interim
dividend.

11. The directors may in any year without calling an ordinary meeting of the Association for the purpose declare out of the then ascertained profits of the Association an interim half-yearly dividend of such amount as may appear to them to be justified by the amount of such profits.

Closing of
transfer
books pre-
vious to
declaring
interim divi-
dend.

12. The directors may close the register of transfers for a period not exceeding fourteen days previous to the declaration of any interim dividend and they may fix a day for the closing of the same of which seven days' notice shall be given by advertisement in some newspaper published or circulating in the county of London and any transfer made during the time when the register is so closed shall as between the Association and the person claiming under the same but not otherwise be considered as made subsequently to the declaration of any such dividend.

13. Section 25 (President and directors of the Association) of the Act of 1870 is hereby repealed and in lieu thereof the following provisions shall have effect:—

A.D. 1916.
—
Directors of
Association.

- (1) The number of directors shall be ten but the Association may vary the number provided that the number be not at any time more than ten or less than five :
- (2) The directors shall not be required to fill up any vacancy occurring in the circumstances referred to in section 89 of the Companies Clauses Consolidation Act 1845 if the number of directors is not by the occurrence of such vacancy reduced to less than five and in the event of any such vacancy occurring and of the directors deciding not to fill up the same the number of the directors shall be deemed to be and continue to be reduced by one as from the date on which such vacancy occurred unless and until such number shall thereafter be increased by the Association :
- (3) Three of the directors shall go out of office at the ordinary meeting of the Association to be held in the year one thousand nine hundred and seventeen and unless and until the number of directors to retire annually by rotation shall be varied by the Association at that or any subsequent ordinary meeting a like number of the directors shall go out of office at the ordinary meeting of the Association to be held in the year one thousand nine hundred and eighteen and in each succeeding year The directors to go out of office at any ordinary meeting pursuant to this subsection shall be those who have then been longest in office or shall be selected by the directors from among those of them who have then been longest in office the period of office being in each case calculated from the date of election or the latest date of re-election whichever shall be the later Any director going out of office pursuant to this subsection shall be eligible for re-election if he continues to possess the qualification prescribed by this Act.

14. Notwithstanding anything in section 6 (Qualification and quorum of directors and quorum of committees) of the Act

Qualification
of directors.

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Act, 1916.

A.D. 1916. — of 1878 the qualification of a director shall be the possession in his own right of stock in the Association to the nominal amount of five hundred pounds and (so long as the capital of the Association exceeds one million pounds) to the further nominal amount of five hundred pounds in respect of each complete one million pounds or multiple of one million pounds of such capital in excess of the first million and in respect of any amount of such capital less than one million pounds in excess of one million pounds or of any complete multiple of one million pounds.

Provisions as to use of seal of Association.

15. The seal of the Association shall not be affixed to any instrument otherwise than by the authority of a resolution passed at a meeting of the directors and (except in the case of a certificate for shares stock or debenture stock of the Association) in the presence of at least two directors and of the secretary or such other person as the directors may appoint for the purpose and those two directors and the secretary or other person as aforesaid shall sign every instrument to which the seal of the Association is affixed in their presence.

Restriction on raising money.

16. Notwithstanding anything in this Act the Association shall not under the powers of this Act raise or borrow any money during the continuance of the present war and twelve months thereafter unless the consent of the Treasury has been previously obtained.

Costs of Act.

17. All costs charges and expenses of and incident to the preparing for obtaining and passing of this Act or otherwise in relation thereto shall be paid by the Association.

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